

Financial Summary 2025

This synthetic annual summary describes Horizon Analytics Group (fictional) for demonstration only. It is not an SEC filing or investment recommendation. Fiscal year 2025 ended December 31 with consolidated revenue of \$4.82 billion, up 14.3% year over year at constant currency. Gross margin expanded 120 basis points to 61.8% driven by software mix and hosting efficiencies.

Revenue by Segment

Enterprise subscriptions contributed \$2.91 billion (60.4% of total), growing 18% organically. Professional services were \$780 million, up 6%, reflecting longer implementation cycles on data governance modules. Maintenance and support were \$640 million, flat year over year as customers migrated to subscription tiers. Other revenue, including training and partner royalties, was \$490 million.

Geographic Performance

North America represented 52% of revenue with 16% growth led by financial services and healthcare verticals. EMEA was 28% of revenue, up 11%, despite FX headwinds of approximately \$42 million. Asia-Pacific was 15% with 22% growth from Japan and Singapore cloud regions. Latin America was 5% with improving collections; days sales outstanding fell from 58 to 51 days.

Profitability

Adjusted EBITDA was \$1.24 billion (25.7% margin), compared to \$1.02 billion (24.1%) in fiscal 2024. Stock-based compensation was \$310 million. GAAP operating income was \$890 million after restructuring charges of \$45 million related to a sales optimization program. Net income attributable to common shareholders was \$720 million, or \$3.18 per diluted share.

Cash Flow and Balance Sheet

Operating cash flow was \$1.38 billion. Capital expenditures were \$210 million, primarily data center leases and GPU capacity for internal model fine-tuning. Free cash flow was \$1.17 billion. Cash and equivalents ended the year at \$2.05 billion. Total debt was \$1.10 billion with weighted average coupon 4.2%; net leverage was 0.9x adjusted EBITDA.

Customer Metrics

Net revenue retention was 118%. Customers with annual contract value above \$1 million grew to 412 from 356. Logo churn in the mid-market segment improved to 7.2% from 8.5%. Average contract length increased to 2.4 years. Pipeline coverage entering Q1 2026 was 3.1x quota for the enterprise sales team.

Product Investments

R&D expense was \$890 million (18.5% of revenue). Major releases included Forecast Studio 5.0 with automated variance narratives, Compliance Hub for SOX workflows, and an embedded copilot for Excel. Patents filed during the year totaled 37, with emphasis on time-series anomaly detection.

Risk Factors

Macroeconomic slowdown could lengthen sales cycles. Concentration risk: top ten customers represent 21% of revenue. Cyber incidents could disrupt multi-tenant SaaS. Regulatory changes in EU AI Act may require additional model documentation. Talent competition in machine learning engineering remains intense.

2026 Guidance

Management guides fiscal 2026 revenue between \$5.35 and \$5.55 billion, implying 11-15% growth. Adjusted EBITDA margin is expected to expand 50-100 basis points. CapEx will rise modestly for a second availability region in Frankfurt. Share repurchase authorization was increased by \$500 million.

Capital Allocation

The board declared a quarterly dividend of \$0.12 per share beginning Q2 2026. \$320 million was repurchased in fiscal 2025 at an average price of \$78.40. M&A pipeline focuses on niche ESG reporting tools under \$150 million enterprise value.

Audit and Controls

Independent auditors issued an unqualified opinion. Material weakness from 2023 revenue recognition automation was remediated. SOX 404 testing covered 92% of consolidated revenue. Internal audit flagged third-party plugin review as a medium priority for 2026.

ESG Highlights

Scope 1 and 2 emissions intensity fell 9% per million dollars revenue. Board diversity targets met with 42% gender diversity and 25% underrepresented minorities. Supplier code of conduct audits covered 78% of spend.

Segment Outlook Narrative

CFO commentary: subscription growth should outpace services as partners deliver standardized implementations. FX sensitivity: a 5% stronger dollar would reduce reported revenue by approximately \$95 million annually. Hedging program covers 60% of forecasted euro exposure for six months forward.

Liquidity Stress Scenario

Stress test assuming 20% new booking decline still leaves minimum liquidity covenant headroom of \$400 million under existing credit agreement. Revolver remains undrawn; maturity 2028.

Appendix - Non-GAAP Reconciliation

Adjusted EBITDA excludes restructuring, acquisition-related amortization, and lease impairment. Reconciliation tables are available in the fictional investor data room for demo purposes only.